

China: More support for CNH and 2H CNY drivers

Falling FX reserves signal a narrower trade surplus

Extel - 2026

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- June FX reserves fell US\$26bn to US\$3416.3bn, pointing to stronger imports and a narrower trade surplus.
- We estimate US\$52.4bn CA surplus and US\$45bn implied outflows. PBoC gold buying accelerated and UST holdings edged lower.
- May–June measures read more like governance and enforcement/channel clean-up than a broad outbound investment clampdown.
- New plumbing includes offshore official-sector RMB repo facility, southbound Bond Connect quota lift, and HKMA RMB liquidity facility expansion, etc.
- 2H CNY drivers: trade/energy and tariff headlines (US/EU), exporter FX conversion, USD/Fed backdrop, July Politburo tone and regulatory signals.

After multiple months of upside surprises, China's FX reserves missed expectations in June, falling US\$26bn to US\$3416.3bn (vs. J.P. Morgan: US\$3439bn; consensus: US\$3436bn). Together with our [alt-data trackers](#), the downside miss points to stronger-than-expected imports and, in turn, a narrowing trade surplus. Price effects likely turned more supportive for both exports and imports. Next week's trade report should provide more clarity. We pencil in a narrower current-account surplus of US \$52.4bn and a valuation loss of US\$33.5bn (the USD index rose from 98.9 to 101.2). Implied capital outflows may have widened modestly to US\$45bn. The PBoC also accelerated gold purchases (+0.48 mn oz in June; +1.29 mn oz in 1H vs. 0.25 mn oz in 2H25), while China's US Treasury holdings edged down by US\$1.2bn to US \$651.1bn in April.

More support for CNH amid outbound-curb concerns

Policy announcements across cross-border securities, futures, fund activity, and outbound investment in May–June have revived questions about whether China is materially tightening outbound capital flows. We [view](#) these moves less as a crackdown on outflows and more as part of a broader governance framework to manage cross-border flows across capital, technology, data, and talent. Key watchpoints are the follow-on implementation rules that will define the practical boundaries, and whether Beijing expands compliant channels, via more approved routes, higher quotas, or both, to keep the framework aligned with RMB internationalization objectives.

Recent developments have reinforced our views. First, at the Lujiazui Financial Forum, PBOC Governor Pan announced the creation of a dedicated repo facility to provide RMB liquidity to eligible offshore "central bank-type" institutions, including foreign central banks/monetary authorities, international financial institutions, and sovereign wealth funds. The facility will offer both pledged repos and outright buy/sell-back structures, against high-grade RMB collateral approved by the PBOC (e.g., CGBs, central bank bills, and policy bank bonds). The initiative is intended to support

Emerging Markets Asia, Economic and Policy Research

Tingting Ge

(852) 2800-0143

tingting.ge@jpmorgan.com

Feng Zhu

(852) 2800 1745

feng.zhu@jpmorgan.com

Jiayi Li

(852) 2800-5229

jiayi.c.li@jpmorgan.com

Tongfang Yuan

(852) 2800-0085

tongfang.yuan@jpmorgan.com

JPMorgan Chase Bank, N.A., Hong Kong Branch

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high-level financial opening and facilitate RMB liquidity management for overseas official institutions. The HKMA has already implemented the tool, with the first agreement signed and an initial batch of transactions completed.

Second, Deputy Governor and SAFE head Zhu Hexin signaled further steps to support outbound activity via simpler FX administration for ODI and external debt (and related conversions), optimized frameworks for FX loans and cross-border equity incentives, and a new batch of QDII quotas.

Third, Governor Pan announced additional measures on 7 July at the Hong Kong FIC and Bond Connect Summit to bolster offshore CNH liquidity and RMB internationalization, including: (1) expanding Southbound Bond Connect by raising the annual net investment quota from RMB 500bn to RMB 800bn and adding Southbound bonds into repo-eligible collateral; (2) supporting a 5-year offshore RMB government bond futures contract, upgrading Bond Connect toward a broader trading infrastructure for bonds/FX/money markets; (3) increasing the HKMA RMB liquidity facility from RMB 200bn to RMB 500bn and extending usage up to three years, alongside the rollout of the offshore central bank repo facility in Hong Kong; and (4) strengthening RMB trade settlement and local-currency settlement linkages, including enabling direct offshore RMB-IDR trading etc.

Near-term catalysts affecting CNY exchange rates

A common investor question is how much further CNY can appreciate after a 3% gain vs. USD in 1H (vs. +4.4% in 2025) and a 4.9% gain on a CFETS-basket basis (vs. -2% in 2025). While the practical constraint is more the PBOC's tolerance for the pace of appreciation, we flag several catalysts that could shape CNY moves into 2H.

First, the trade surplus remains the structural BoP anchor amid external trade policy uncertainties. The near-term swing will hinge on the interaction between export performance, the energy import bill (after the recent oil-import contraction), and trade-policy headlines. Risks include renewed tariff uncertainty (US Section 301/232), and a potential intensification of EU-related frictions, including discussion of a "currency accord". These could shift expectations for the trade surplus and policy reaction function before they show up in the hard data.

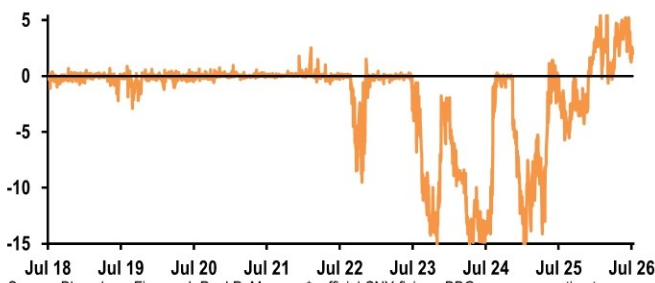
Second, flows matter as export strength only supports CNY if dollars are converted. Exporter hedging decisions and seasonal dividend payouts/repatriation needs can create discrete FX conversion windows. The key question is whether conversion stays concentrated in incremental trade income or broadens into more outright reduction of accumulated USD holdings. These behaviours can also be level-dependent on where USD/CNY trades.

Third, the USD backdrop will cap CNY strength. A firmer USD and a more hawkish Fed tilt could slow the pace of CNY appreciation, particularly given policy divergence with the PBOC, even if US-China rate differentials now play a less reliable role in explaining CNY moves than they do for other currencies.

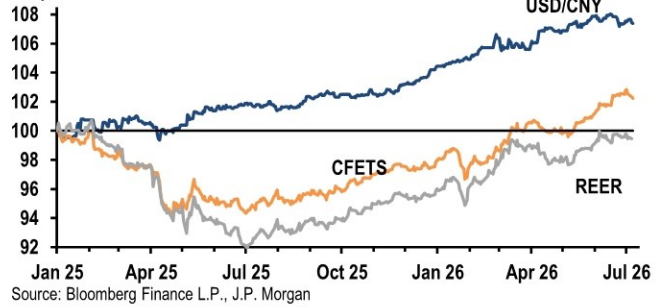
Fourth, July Politburo expectations are a sentiment catalyst. A clearer easing bias could support risk assets and the CNY via improved confidence and inflow dynamics. But we see a high bar for incremental stimulus, with the near-term emphasis more likely on faster deployment of March NPC approved fiscal resources. The setup is asymmetric: disappointment can weigh on sentiment, while upside would likely require a visible step-up that changes the domestic-demand narrative rather than reiterating current guidance.

Fifth, regulation uncertainty vs. RMB internationalization support affects CNH sentiment and access. Markets are watching whether recent regulatory/enforcement actions signal tighter outbound constraints, which would matter directly for CNH via channel access and sentiment. Recent constructive signals reinforce our view that the moves are more about channel clean-up alongside expanded "plumbing" for RMB internationalization, supportive for offshore market functioning and foreign participation, even if it does not mechanically map into a specific spot level.

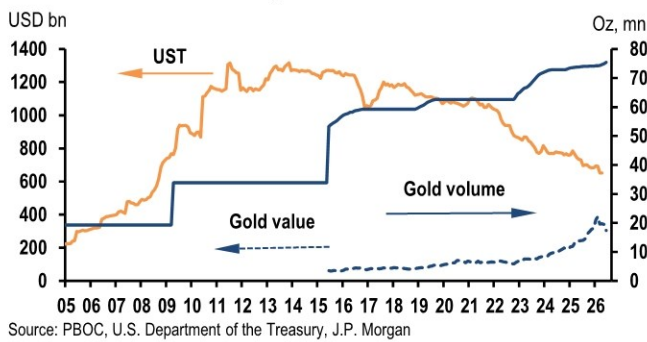
USD/CNY fixing bias*
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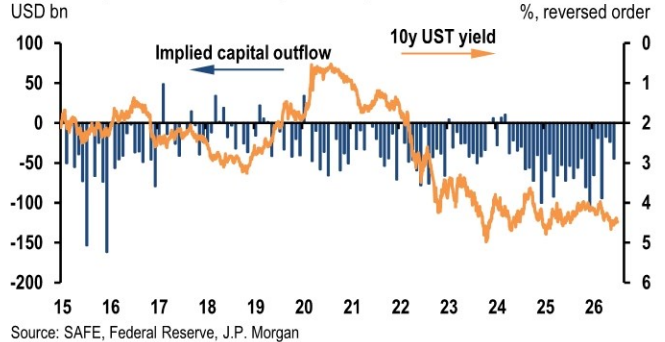
CNY exchange rates
Daily, 2025 Jan 1=100



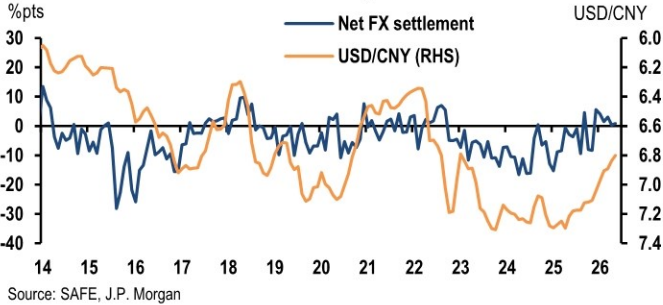
Gold reserves vs. UST holding



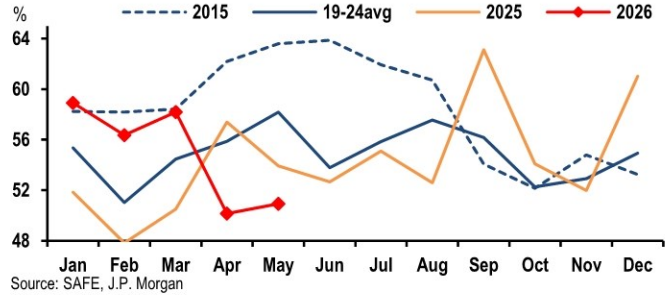
China's capital outflow and 10-year UST yield



Banks' net FX settlement vs. CNY exchange rate



Banks' FX settlement ratio on behalf of clients



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